Kioxia Holdings (285A / KXIAY) — Independent Buy-Side Research Memo
Updated: 30 October 2026
Sector: NAND Flash / Enterprise SSD / AI Infrastructure
Tokyo Close: ¥13,470
Current View: Watchlist

Investment View

Kioxia remains one of the more interesting ways to gain exposure to the expansion of AI-related storage demand, but it is also one of the easiest businesses to misvalue using conventional forward earnings.

The company is benefiting from an exceptional NAND environment. Enterprise SSD demand from AI data centres has strengthened, NAND pricing has risen sharply, and Kioxia's earnings have expanded at a pace that would have looked unrealistic only a year ago.

The latest quarter confirms that the operating environment remains extremely strong.

It does not, however, answer the main investment question:

How much of today's earnings can survive when NAND pricing eventually normalises?

That distinction matters more than the headline P/E.

Q2 Results: Still an Exceptional Earnings Environment

Kioxia reported approximately:

- **Revenue:** ¥2.48T
- **Operating profit:** ¥2.00T
- **Net profit:** ¥1.36T
- **EPS:** approximately ¥838

Revenue increased roughly 40% from the previous quarter, while operating profit increased by more than 50%.

An operating margin of around 80% is extraordinary for a NAND manufacturer.

The obvious conclusion is that the combination of tight NAND supply, higher average selling prices and strong enterprise SSD demand continues to generate enormous operating leverage.

The less obvious conclusion is equally important:

An 80% operating margin should not be treated as a normal earnings base.

This is where the valuation problem begins.

The First Sign of Earnings Normalisation

The more important information from the results is not Q2 itself, but the next-quarter outlook.

Management expects approximately:

- **Revenue:** ¥2.50T
- **Operating profit:** around ¥2.00T
- **Net profit:** around ¥1.36T

That implies very little sequential growth from Q2.

The progression is therefore changing.

Q1 to Q2 looked roughly like:

Revenue: +40%

Operating\ Profit: +57%

The next quarter is closer to:
Revenue: \approx +1%

Operating\ Profit: \approx 0%

This does not mean the business is deteriorating.
Kioxia would still be earning at an extraordinary level.
What it does suggest is that the period of continuous, explosive quarterly earnings upgrades may be reaching a plateau.
That matters because the share price has been supported not only by high earnings, but by the expectation that those earnings would continue moving higher.

AI Storage Is Real — But It Does Not Eliminate the NAND Cycle

The structural argument for Kioxia remains credible.
AI training and inference require increasing quantities of storage. Large models generate and consume huge datasets, and inference workloads create additional demand through areas such as KV cache and high-performance data access.
Enterprise SSDs are therefore becoming more important within the broader AI infrastructure stack.
The interesting possibility is that NAND is gradually becoming more than a conventional storage commodity and moving closer to the AI memory hierarchy.
If that happens, the long-run demand base for high-value NAND could be materially higher than it was in previous cycles.
But there is a major difference between saying:
AI increases NAND demand.
and saying:
AI permanently removes NAND cyclicality.
I believe the first statement is increasingly well supported.
The second remains unproven.

Why the Current P/E Is Misleading

At the current earnings run-rate, Kioxia looks extremely cheap.
If quarterly net income of roughly ¥1.36T were simply annualised:

Annualised\ Net\ Income\approx ¥5.4T

At the 30 October closing price of approximately ¥13,470 and roughly 1.65 billion shares outstanding, the equity value is around:

¥22T

That produces an apparent earnings multiple of only:

\frac{¥22T}{¥5.4T}
\approx4x

At first glance, that looks exceptionally cheap.
I do not think that is the correct way to value the company.
The real question is what Kioxia earns through a normal NAND cycle.

Normalised Earnings Framework
I continue to think about Kioxia through three broad scenarios.
Bear Case — Traditional NAND Mean Reversion
AI demand remains healthy, but new industry capacity eventually catches up with demand.
ASP falls, operating margins normalise sharply and the current super-cycle ends.
A reasonable long-run net-income range could fall back toward:

¥0.4-0.6T

At the current market value, that would imply roughly:

37-55x

normalised earnings.
In this scenario, the stock would remain expensive despite appearing extremely cheap on current earnings.

Base Case — AI Permanently Raises the Earnings Base
Enterprise SSD demand remains structurally stronger than in previous NAND cycles.
Kioxia retains a better product mix, pricing does not completely collapse, and the company earns materially more through the cycle than it did historically.
Normalised net income:

¥1.0-1.3T

At approximately ¥22T of equity value:

P/E \approx17-22x

That is no longer obviously cheap.
It would represent a reasonable valuation for a stronger business, but not necessarily an asymmetric opportunity.

Bull Case — AI Storage Creates a New Structural Regime

The strongest case requires more than another year of high NAND pricing.
Enterprise SSD would need to become a structurally larger component of AI infrastructure, high-performance flash would increasingly sit inside the memory hierarchy, and industry supply discipline would need to remain reasonably rational.
Normalised net income:

¥1.8-2.2T

At today's valuation:

P/E \approx10-12x

This is the scenario under which the current share price becomes genuinely attractive.
The valuation debate therefore comes down to one number:
Can Kioxia sustainably earn around ¥2T per year after the current NAND super-cycle ends?

Supply Remains the Main Risk
High semiconductor margins eventually attract capital.
Kioxia and SanDisk have already announced very substantial long-term investment plans in Japan, while other NAND producers also have strong economic incentives to increase supply.
That creates the familiar memory-industry sequence:

Demand\ Tightness\rightarrow
ASP\ Increase\rightarrow
Exceptional\ Margins\rightarrow
Capacity\ Expansion\rightarrow
Supply\ Growth\rightarrow
ASP\ Pressure

The timing is uncertain, but the mechanism is not.
Kioxia therefore faces an unusual situation: the same demand strength that makes the current results attractive is also encouraging the investment that may eventually weaken future pricing.
Competition from YMTC adds another layer of uncertainty, particularly if Chinese suppliers continue increasing both capacity and technological capability.

TOPIX Flows: Important, but Separate From the Thesis
Kioxia also has an unusually large technical catalyst that has little to do with NAND fundamentals.
Its TOPIX free-float weight is being increased from 15% in two stages:

- **30 October: 32.5%**
- **30 November: 50%**

The previous estimate from Daiwa implied roughly ¥1.1T of passive buying in each stage, or approximately ¥2.2T in total.
That is a substantial amount of mechanical demand relative to normal trading liquidity.
The first-stage adjustment helped produce extremely heavy trading around the end of October. On 29 October alone, more than 143 million shares changed hands. On 28 October, volume exceeded 107 million shares.
The second adjustment at the end of November therefore remains relevant.
However, I do not regard index demand as part of the long-term investment thesis.
It may influence price.
It does not create economic value.
Once those flows are completed, valuation must again be supported by earnings and cash generation.

The Share Price Is Already Repricing the Risk
Kioxia closed on 30 October at approximately:

¥13,470

down about:7.1%

from the previous day's ¥14,505 close.
The share price is also far below its June 2026 high of more than ¥37,000.
Importantly, the 30 October decline occurred before the 18:45 JST earnings release.
It should therefore be interpreted primarily as positioning ahead of earnings, digestion of the TOPIX rebalance and broader semiconductor risk rather than as the market's verdict on the newly released results.
The next regular session will provide a cleaner indication of how investors interpret the combination of strong Q2 earnings and flatter sequential guidance.

What Has Changed Since My Previous Note
Before the results, the largest uncertainty was whether the extraordinary earnings acceleration would continue.
The answer is now clearer.
The earnings level remains exceptional.
The earnings **growth rate** is beginning to flatten.
That distinction moves the investment case away from:
How high can this quarter's EPS go?
toward:
What does this business earn when the current pricing environment stops improving?
That is a healthier question.
It is also a much harder one.

What Would Make the Stock More Interesting
A lower share price alone is not enough.

I would become more constructive if several pieces of evidence begin to appear together:

- enterprise SSD demand remains strong even as NAND ASP stops rising;
- bit demand continues expanding without excessive inventory accumulation;
- Kioxia maintains a materially better product mix than in previous cycles;
- industry supply growth remains disciplined;
- capital expenditure generates attractive returns rather than simply rebuilding excess capacity;
- and a normalised net-income estimate of at least ¥1.5–2.0T becomes increasingly defensible.

That would change the valuation substantially.
At ¥1T of sustainable earnings, the shares are not obviously cheap.
At ¥2T, they become much more interesting.

What Would Make Me Walk Away

The thesis would weaken if:

- NAND ASP begins a sustained decline;
- enterprise SSD demand slows materially;
- customer inventories rise;
- industry capacity growth accelerates faster than demand;
- YMTC begins gaining meaningful share in higher-value enterprise products;
- or Kioxia's profitability falls back toward historical NAND-cycle economics despite continued AI growth.

The central risk remains straightforward:
The market may believe it owns an AI storage growth company when it actually owns peak NAND earnings.
The latest results have not proven that argument.
They have not disproven it either.

Conclusion

Kioxia's Q2 results confirm that the company is currently operating in an extraordinary earnings environment.
AI-related enterprise SSD demand is real, NAND pricing remains favourable and the balance sheet is substantially stronger than it was in previous cycles.
At the same time, sequential guidance suggests that the period of accelerating quarterly profit growth may be beginning to level off.
That makes current headline valuation metrics increasingly less useful.
At roughly four times annualised current earnings, the stock appears extremely cheap.
On a normalised earnings base of ¥1.0–1.3T, it does not.
The investment opportunity therefore depends on whether AI storage has permanently shifted Kioxia's through-cycle earnings power toward approximately ¥2T or more.
I do not yet have enough evidence to make that assumption.
For now, Kioxia remains on my watchlist. The next stage of the research is no longer about whether AI demand exists; it is about determining what Kioxia can earn once NAND pricing stops improving.

Disclaimer

This report reflects independent research and personal analysis for educational and portfolio purposes only. It does not constitute investment advice, a recommendation, or a solicitation to buy or sell any security.

I was hesitant when I talked to a friend about this stock on the 28th, but he went all in. I wish him good luck... I'm still hesitant because the real catalyst hasn't arrived yet.

Lawrence zhang